

HDFC Bank Limited
Annual Report, Fiscal Year 2026
Directors' Report

The Bank's total advances grew during the year, supported by steady retail disbursements across secured and unsecured loan books. The Board continues to monitor asset quality closely across all lending segments.

Asset Quality and Provisioning

The Gross NPA ratio stood at 1.24% as of 31 March 2026, compared with 1.31% a year earlier. The Net NPA ratio was 0.33% as of the same date. The Bank carried a provision coverage ratio of 76.2% on non-performing assets.

Management believes the current provisioning is adequate given the composition of the loan book, though it continues to monitor emerging stress in select unsecured retail segments.

Capital Adequacy

The Bank's Capital Adequacy Ratio (CAR) under Basel III, including profit for the year, was 18.9%, well above the regulatory minimum of 11.7% prescribed by the Reserve Bank of India. The Common Equity Tier 1 (CET1) ratio was 16.8%.